Financial Statements and Analysis

Support for tonight's homework

Financial Statement Analysis

- Analyze an industry or company
- Identify opportunities
- Determine trends
- Guide management decisions
- Analyze effects of management decisions
- Decide whether to enter or exit and industry or market
- Help predict the future
- Determine exposure to risk
- Determine adherence to regulations
- Other

Financial Statement Analysis

Areas of Interest

1. Profitability
    - Margins
    - Efficiency

2. Risk
    - Liquidity
    - Solvency

3. Growth
    - Trends
    - Opportunities

Financial Statement Analysis

Typical Questions

- Are changes in the company's strategy, economic conditions, competition, or other factors causing its profitability and risk to change?
- What causes differences between the company's profitability and risk and those of its competitors?
- What are the company's growth opportunities?
- How do we incorporate past results into our expectations of the future?

Profitability: Return on Assets (ROA)

Return on Assets (ROA)

$$\text{ROA} = \frac{\text{Operating Income}}{\text{Average Assets}}$$

Profit Margin

$$\frac{\text{Operating Income}}{\text{Sales}}$$

Asset Turnover

$$\frac{\text{Sales}}{\text{Average Assets}}$$

Expense Ratios

Cost of Products / Sales
Cost of Services / Sales
SGA / Sales
Advertising / Sales
Salaries / Sales
Rent / Sales
Utilities / Sales
Other / Sales

Turnover Ratios

Accounts Receivable Turnover
Days Sales Outstanding

Inventory Turnover
Days Inventory Outstanding

PPE Turnover

ROA Analysis

- Return on Assets (ROA):
  - Indicates the ability of the firm to generate earnings for a particular level of assets.

- Profit Margin
  - Indicates the ability of the firm to generate earnings for a particular level of sales.

- Total Asset Turnover (TAT)
  - Indicates the ability to generate sales from a particular investment in assets.

ROA

General idea:

If ROA > asset cost of capital Increasing value for the firm

If ROA < asset cost of capital Decreasing value for the firm

If ROA = asset cost of capital Constant value for the firm

Risk

- Can the company pay its bills? (Liquidity)
  - Current assets/current liabilities
  - Cash from operating activities/current liabilities
  - Earnings before interest and tax/interest expense

- Can the company avoid bankruptcy? (Solvency)
  - Debt/Equity
  - Debt/Assets

Profitability Improvements

Not all are applicable in this simulation, but many are

- Increase Revenues
  - Grow product lines
  - Review pricing
  - Find new customers and markets
- Manage accounts receivable
  - Set terms
  - Send reminders to customers to pay
  - Offer discounts to customers to get them to pay earlier, even in advance
  - Sell your accounts receivable to a factoring company or working capital fund
  - Set goals and rewards for achieving goals
  - Regular review of balances
  - Manage credit risk
- Manage inventory
  - Determine true needs
  - Hold less inventory for shorter amounts of time
  - Review your supply chain
  - Improve order processing procedures
  - Improve inventory control
  - Automation
  - Set clear targets, budgets, goals

Profitability Improvements

Not all are applicable in this simulation, but many are

- Reduce Expenses
  - Cut out unnecessary expenses now and in the future
  - Renegotiate contracts with other suppliers and employees
  - Reduce advertising spend
  - Reconsider job design with the goal of requiring fewer employees in the future
  - Find better shipping mechanisms and prices
  - Outsource duties and roles
  - Share resources with competitors or other businesses
  - Cut unprofitable customers and focus on the most profitable customers
  - Economies of scale
  - Shared services